

Cash, Closing and Opening Balances

ECITY — Mobile Shop Management Web App

Version 1.0 · 2026

What the three money screens are for, in plain English

1. Who This Is For

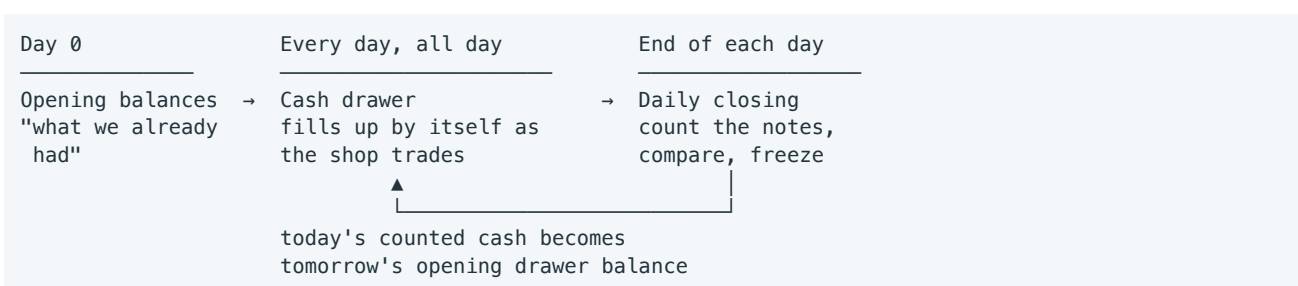
You run the shop, or you are about to hand these three screens to someone who does. This explains **what they are for and why they behave the way they do** — not how they are coded. No accounting background is assumed.

The three screens are:

Screen	Path	When you use it
Opening balances	/settings/opening-balances	Once, on the day you start
Cash drawer	/cash	Whenever you want to see the till
Daily closing	/closing	Once per branch, at the end of each day

They are really one story about cash, told at three different moments.

2. How They Fit Together



Opening balances happen once. The drawer runs continuously. Closing happens every evening, and hands the baton back to the next day's drawer.

3. Opening Balances — "What We Already Had"

3.1 The problem it solves

The day you switch to ECITY, the shop is not empty. There is cash in the till, stock on the shelf, customers who owe you money and suppliers you owe.

None of that has a document behind it. There is no invoice for "the ₹40,000 that was already in the drawer" and no purchase order for "the 30 cables already on the shelf". So it cannot arrive through the ordinary screens — but it still has to reach the same ledgers, or **every figure built on top of them starts out wrong**.

3.2 What you enter

Three tabs, and you can do them in any order:

Tab	What you declare
Cash	What is in each branch's till, and the balance of each bank / UPI / card account
Stock	How many of each accessory you are holding, per branch
Dues	What each customer owes you, and what you owe each supplier

Everything is declared **as at one date** — the day you are starting from.

3.3 Why it is not just a starting number

Each figure is posted through the **same machinery a real sale or purchase uses**, tagged as an opening entry. A customer's opening due is a genuine line on their statement; opening stock is a genuine stock movement; opening cash is a genuine drawer movement.

The practical result: six months later, when someone asks *"why does this customer owe ₹4,000?"*, the answer is a dated, traceable ledger line — not an unexplained number that appeared from nowhere.

This is a one-time exercise, and the app protects most of it. Cash, account balances, customer dues and supplier dues each refuse a second opening figure — you will be told *"this branch already has an opening cash figure"* rather than having it added twice. The cash and dues tabs are also all-or-nothing: if one line is rejected, none of them are applied, so a retry after a mistake is always safe.

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Opening stock is the exception, and it is the one to be careful with. It has no such guard. Submitting the stock tab twice **adds the quantities a second time** — 30 cables become 60. If you are unsure whether it went through, check the products list before resubmitting rather than pressing the button again.

Once declared, a wrong figure is corrected the ordinary way — a payment, a credit note, or a stock adjustment — never by re-running this screen.

3.4 Getting it right

Do the count on a day the shop is shut, or before it opens. The figures must describe **one single moment**. If you count the till at 10am, sell three phones, and then count the stock at 2pm, the two halves describe different shops and nothing will reconcile.

4. Cash Drawer — "What Is In The Till Right Now"

One drawer per branch, per day. Open [/cash](#) to see it.

4.1 Nobody opens it

There is no "start the day" button, and that is deliberate. The first time cash moves at a branch, that day's drawer creates itself.

The alternative — requiring someone to press a button each morning — means that on the morning they forget, the first hour of trade lands nowhere and the day cannot be reconciled at all. A counter that is selling has a drawer, whether or not anyone remembered.

4.2 What lands in it

Everything cash-like, automatically, from every part of the app:

- cash taken on a sale
- cash collected against a customer's credit
- cash refunded on a return
- cash paid out for an expense
- cash paid to a supplier

Card and UPI payments do not. Those move the relevant *account* balance instead. Each payment method carries a flag saying whether it touches the till, and that flag is read in exactly one place — so cash and non-cash can never be routed inconsistently by two different screens.

This matters: without it, a till would be credited with money that actually went to a bank, and would never reconcile.

4.3 Expected cash is calculated, never stored

$\text{expected cash} = \text{opening balance} + \text{everything in} - \text{everything out}$

That sum is recomputed **every time you look at the screen**. It is never saved as a running total.

This sounds like a technical detail. It is the single most important property of the whole system. A stored running total can drift away from the movements it claims to summarise — and once it has, you can never tell which of the two is lying. Deriving it means the total and the evidence behind it cannot disagree, and the screen lists every movement making up the figure.

4.4 "Today" means the shop's today

The business date is the calendar day **in India**, not on the server. Between midnight and 05:30 those are different dates. A sale rung up at 1am belongs to the day the shop is actually trading, and both the drawer and every form in the app agree on which day that is.

5. Daily Closing — "Count It And See If It Matches"

At the end of the day, at `/closing`, someone counts the physical notes and types the figure in.

5.1 What it tells you

$\text{difference} = \text{what you counted} - \text{what the system expected}$

A shortage or a surplus is shown plainly. It is not hidden, rounded away, or quietly absorbed — the point of the exercise is to surface it while the day is still fresh enough to explain.

The screen also summarises the day around that figure, so the cash number has context:

- sales, and returns
- credit given out, and credit collected
- refunds paid
- supplier payments
- expenses

5.2 Closing freezes the day

Once closed, that day's drawer is sealed. The closing is a signature saying *"this is what was there."*

Three consequences follow:

Late entries are flagged, not blocked. If something genuinely has to be posted into a day that is already closed, it can be — but only by someone with permission to correct a closed day, and the entry is marked as having landed after the close. The gap between the signed figure and a freshly recomputed one stays **visible**, rather than the original quietly changing underneath.

A day can be reopened — for the mistake everyone actually makes, which is closing at six and then taking a sale at seven.

But not once a later day has been closed. At that point the app refuses and tells you to post a correction into the day instead. This is what stops "reopen an old day" from becoming a way to rewrite last month.

5.3 The handover to tomorrow

Tomorrow's drawer opens with **the cash you counted**, not the cash the system expected.

This is the right way round, and worth understanding. If you were ₹200 short today, tomorrow starts ₹200 short too. The drawer begins with what is genuinely in it, and the discrepancy stays on the record as its own visible event — rather than being silently absorbed overnight, which is exactly how a small recurring loss goes unnoticed for a year.

6. The Idea Underneath All Three

Derived, never stored.

- Opening balances are real ledger entries, not starting figures
- Drawer totals are summed from their movements on every single read
- Closing compares a counted figure against a computed one, and keeps both

Nothing anywhere is a number that someone can quietly nudge. That is what makes the figures worth trusting at the end of a month — and it is why the shortage the system reports is a fact about the shop, not a fact about the software.

7. Common Questions

We forgot to close yesterday. What now? Nothing is lost. Open `/closing`, change the date to yesterday, and close it. The drawer for that day still holds every movement.

The count is short. Do I have to fix it before closing? No — close with the true counted figure. The difference is recorded and stays visible. Adjusting the count to make it balance destroys the only evidence that anything went missing.

A customer paid by UPI but the till is short by that amount. Check the payment method used on the bill. UPI should be set not to affect the cash drawer; if it was recorded as cash, the till expects notes that were never handed over.

Can I delete a wrong movement? No. Money entries are append-only. A mistake is corrected by a second entry — a void, a refund, an adjustment — so both the error and the correction stay on the record.

Do I redo opening balances when I add a branch? No. A new branch simply starts empty and fills up through ordinary trade. If it opens with stock transferred from another branch, that is a stock transfer, not an opening balance.